enterprise is likely to be selling at considerably less than its liquidating value if it happens to be rich in working capital.

The relationship between "good stocks" and other stocks must be considered in the light of what is to be expected of American business generally. Any prediction on the latter point would be highly imprudent; but it is in order to point out that the record of the last fifteen years does not in itself supply the basis for an expectation of a long-term upward movement in volume and profits. In so far as we judge the future by the past we must recognize a rather complete transformation in the *apparent* outlook of 1940 against that in 1924. In the earlier year a secular rise in production and a steady advance in the figure taken as "normal" were accepted as a matter of course. But so far as we can see now, the 1923–1925 average of industrial production, formerly taken as 100 on the Federal Reserve Board's index,[1] must still be considered as high a normal as we have any right to prognosticate. Needless to say, the investor will not deny the *possibility* of a renewed secular rise, but the important point for him is that he cannot count upon it.

If this is the working hypothesis of the present stock market, it follows that stock buyers are expecting in general a further growth in the earnings of large companies *at the expense* of smaller ones and of favorably situated industries at the expense of all others. Such an expectation appears to be the theoretical basis for the high price of the one group and the low prices found elsewhere. That stocks with good past trends and favorable prospects are worth more than others goes without saying. But is it not possible that Wall Street has carried its partiality too far—in this as in so many other cases? May not the typical large and prosperous company be subject to a twofold limitation: first, that its very size precludes spectacular further growth; second, that its high rate of earnings on invested capital makes it vulnerable to attack if not by competition then perhaps by regulation?

Perhaps, also, the smaller companies and the less popular industries as a class may be definitely undervalued, both absolutely and in

---

[1] In 1940 the Board revised this index. New components were added, and the average of 1935–1939 was adopted as the base.